MGE Energy

Where the Data Centers Have No Name: Durable Base Growth Balanced By Limited Large-Load Visibility and Premium Valuation; Initiate at N

Initiation
Neutral

MGEE, MGEE US
Price (14 Oct 26):$71.32
Price Target (Dec-27):$76.00

We initiate coverage of MGE Energy, Inc. (MGEE) with a Neutral rating and $76 YE 2027 price target. We view MGEE as a high-quality, relatively low-risk vertically integrated utility offering durable single-digit earnings growth, supported by constructive PSCW ratemaking, an established WI clean energy policy, and a resilient, recession-resistant Madison service territory. Although management does not provide formal long-term guidance, MGEE's historical earnings/net PP&E growth track record provides a credible framework for future execution, with renewables, grid modernization, LDC, and transmission investment supporting a visible multi-year runway. However, we believe the current valuation already captures much of MGEE's business quality, while the scope and scale of prospective large load development and corresponding capex torque appear relatively limited versus VIU peers at this time. With shares trading at an above-average PEGY ratio, we see balanced risk-reward from current levels and would look for either a clearer path to growth above the company's historical trajectory or a more compelling valuation before becoming more constructive.

- **All signs point to 'steady as she goes' earnings growth execution.** MGEE does not provide long-term financial guidance, though management has framed MG&E's historical earnings/net PP&E growth track record as an appropriate yardstick for considering future growth rates. We expect a single-digit EPS growth trajectory, underpinned by 1) a ~$1.85bn capex plan anchored on WI policy-driven renewables additions, grid modernization, and gas infra investments and 2) competitive utility earnings power enabled by WI's solid ROEs, equity-rich capital structures, future test years, and established cost-recovery mechanisms.
- **We view MGEE as relatively well positioned to navigate against economic uncertainty versus peers.** Madison's high concentration of noncyclical government, education, and healthcare employment helps promote a relatively resilient customer base (with favorably low utility bill wallet share) that exhibits ample headroom to absorb infra investments for years to come.
- **Election cycle poses a non-zero risk, though we do not expect any material degradation in WI ratemaking.** Admittedly, WI's 2026 gubernatorial election casts some degree of uncertainty in the direction of utility ratemaking under new state leadership, amid campaign rhetoric centered on data center development and affordability. Net-net, we view either leading candidate's political agenda as unlikely to materially degrade WI's construct, albeit potentially casting some downward ROE risk and energy mix changes.
- **Data center traction remains limited; any wins represent upside to our outlook.** While ~60% of MGEE's service territory falls outside the current moratorium, and a potential resolution by Jan 2027 could improve the outlook, the company has yet to secure any large-load deals. We therefore assign a low probability of MGEE capturing meaningful near-term demand and expect the bulk of development to flow toward other service territories in the state.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 19 for analyst certification and important disclosures.

North American Utilities

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Quarterly Forecasts (FYE Dec)

Adj. EPS ($)	2025A	2026E	2027E
Q1	1.14	1.32A	1.39
Q2	0.72	0.89A	0.89
Q3	1.22	1.17	1.24
Q4	0.64	0.60	0.71
FY	3.72	3.98	4.21

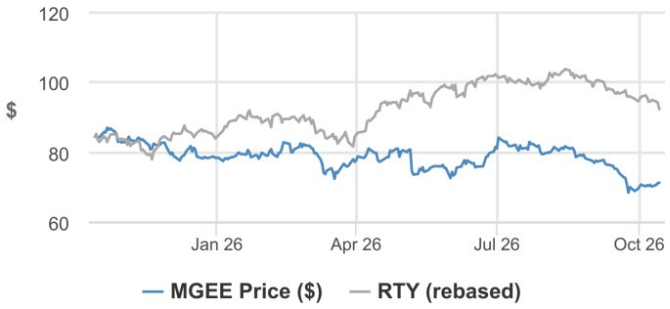
Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	66	62	80	82	83
Growth	89	91	15	44	36
Momentum	64	97	80	39	24
Quality	8	10	22	11	12
Low Vol	43	47	50	26	40
ESGQ	30	96	92	82	91

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Price Performance



	YTD	1m	3m	12m
Abs	-9.0%	-6.3%	-12.1%	-15.6%
Rel	-19.0%	-0.7%	-4.2%	-24.9%

Company Data

Shares O/S (mn)	41
52-week range ($)	87.94-68.01
Market cap ($ mn)	2,954.31
Exchange rate	1.00
Free float (%)	99.6%
3M ADV (mn)	0.18
3M ADV ($ mn)	13.7
Volatility (90 Day)	18
Index	RUSSELL 2000
BBG ANR (Buy | Hold | Sell)	1|2|1

Key Metrics (FYE Dec)

$ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	744	777	819	851
Adj. EBITDA	305	321	355	393
Adj. EBIT	190	205	229	260
Adj. net income	136	149	167	187
Adj. EPS	3.72	3.98	4.21	4.52
BBG EPS	3.65	3.95	4.01	4.10
Cashflow from operations	263	270	272	314
FCFF	(51)	(85)	(273)	57
Margins and Growth				
Revenue Growth Y/Y (%)	9.9%	4.4%	5.4%	4.0%
EBITDA margin	41.0%	41.3%	43.4%	46.1%
EBITDA Growth Y/Y (%)	11.8%	5.4%	10.6%	10.6%
EBIT margin	25.6%	26.4%	28.0%	30.5%
Net margin	18.3%	19.2%	20.4%	22.0%
Adj. EPS growth	11.7%	7.0%	5.9%	7.2%
Ratios				
Adj. tax rate	13.3%	10.8%	9.8%	9.8%
Interest cover	9.0	8.4	8.1	7.5
Net debt/Equity	0.7	0.7	0.6	0.7
Net debt/EBITDA	3.0	3.2	3.3	3.2
ROCE	7.8%	7.8%	7.6%	7.6%
ROE	10.7%	10.7%	10.2%	10.1%
Valuation				
FCFF yield	(1.9%)	(3.2%)	(9.6%)	1.9%
Dividend yield	2.6%	2.7%	2.9%	3.0%
EV/Revenue	5.1	5.1	5.2	5.3
EV/EBITDA	12.4	12.3	12.1	11.5
Adj. P/E	19.2	17.9	16.9	15.8

Summary Investment Thesis and Valuation

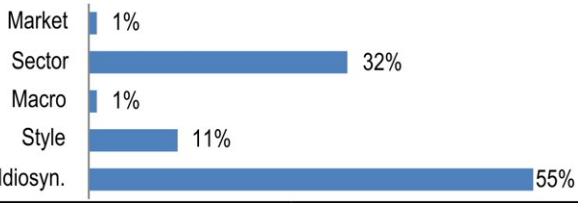
Investment Thesis

We view MGEE as a high-quality, low-risk vertically integrated utility offering durable single-digit earnings growth, supported by established WI clean energy policy, constructive WI ratemaking, and a resilient Madison service territory anchored by government, higher education, and healthcare employment. However, we believe the current valuation already captures much of MGEE's business quality and earnings durability, while we see greater large load growth tailwinds elsewhere across our coverage. With shares trading at an above-average PE/TR ratio, we see balanced risk-reward from current levels and would look for either a clearer path to growth above the company's historical trajectory or a more compelling valuation before becoming more constructive.

Valuation

We introduce a YE27 price target of $76/share, using an adjusted 16.8x multiple on our 2028 estimate. Our consolidated multiple represents an appropriate premium to regulated peers on account of 1) a proven EPS compounding track record, 2) above-average WI regulation, 3) strong balance sheet positioning, and 4) Madison's economically resilient service territory.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI US	-0.11	-0.10
Sect: Utilities	0.60	0.57
Ind: Utilities	0.60	0.57
Macro:		
US 10yr yield	-0.23	-0.24
US Dollar	-0.15	-0.08
Economic Surprise	0.05	0.05
Quant Styles:		
LowVol	0.37	0.35
DivYld	0.27	0.27
Momentum	-0.20	-0.21

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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- **Premium valuation limits upside, in our view.** We view MGEE's relative premium as appropriately capturing its earnings growth runway, top-tier balance sheet, and business quality, as reflected in its comparatively price-to-earnings-to-growth+yield (PEGY) ratio of 1.7x (vs 1.4x median). We could become more constructive should the company establish a more credible path to growth above its historical trajectory through incremental capex, or a more compelling valuation relative to peers.

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Investment Thesis

MGE Energy (MGEE)
Neutral

Resilient local economy supports customer affordability and long-term capex headroom... Home to the University of Wisconsin-Madison, the state capital, and a robust healthcare footprint, the greater Madison metro area exhibits a relatively defensive economic profile with low unemployment, steady population growth, and healthy median household income. For MG&E, we view these favorable economic characteristics as underpinning ample customer bill headroom to absorb infrastructure investments for years to come, particularly given the utility's relatively low customer bills as a percentage of income across its service territory. Within our coverage, we see MGEE as better positioned than peers to navigate a broader macroeconomic slowdown, given its greater concentration of noncyclical government, higher education, and healthcare customers.

…with an investment runway backed by established WI energy policy, transmission expansion, and grid modernization. Beyond bread-and-butter electric and gas distribution system needs, WI's established net zero carbon goal by 2050 represents an important long-term driver of MGEE's capex runway, effectively prompting a multi-decade need for continued renewables and battery storage investments. Currently, MG&E remains on pace to add ~750MW of new wind/solar and storage nameplate capacity from 2015 through 2030, an amount that broadly approaches the utility's peak load requirement in terms of MW size. Separately, MGEE also carries exposure to regional transmission expansion through its ATC ownership, which remains a key growth arm. Altogether, we see these capex drivers as supporting a durable rate base growth runway both within the $1.85bn 2026-2030 capital plan and beyond. While management does not provide formal EPS or rate base growth guidance, the company has pointed to MG&E's historical five-year 7.8% regulated PP&E CAGR and 7.4% EPS CAGR as a credible framework for considering prospective long-term growth.

Constructive WI utility ratemaking standards enable competitive earnings power... We view WI's regulatory framework as supportive of consistent, competitive earnings power for MGEE, underpinned by above-average authorized ROEs (9.80%) and cap structures (56% equity), forward test years, relatively frequent rate proceedings, and the ability to earn a return on selected CWIP. Taken together, we see a regulatory construct that supports reasonable earned returns and provides high visibility into rate recovery of ongoing utility investment. We do not expect any material degradation in WI's construct post the 2026 gubernatorial election.

… and support a top-tier balance sheet. We view MGEE's balance sheet as top-tier across our coverage, with a S&P/Moody's FFO/Debt downgrade threshold of 28%/25%, supported by high cash flow visibility and the company's capital structure. The company completed a $250mm common equity offering in May 2026, providing liquidity to fund prospective capital needs but introducing incremental share dilution. We nevertheless view the recent financing actions as meaningfully improving funding visibility and reducing near-term funding risk over the forecast period.

Data center deals would represent upside, though we expect greater traction elsewhere in the state. Beyond its existing customer base, management has indicated increasing interest from large-load customers, which would provide upside to the base plan and our estimates. However, the city of Madison enacted a temporary 12-month moratorium in January 2026, halting zoning approvals and building permits for new,

large-scale data centers. With ~40% of the utility's service territory under the moratorium, MGEE has yet to identify any material committed large-load additions or quantify the associated capex opportunity. While a successful resolution of the moratorium could improve the outlook for large load development, we remain reluctant at this time to underwrite material large-load upside absent a named customer agreement and continue to expect the majority of prospective demand to flow toward larger, more accessible service territories elsewhere in the state.

Premium valuation absent a clear growth catalyst tempers return potential, in our view. We see MGEE as a high-quality regulated utility offering a durable single-digit earnings growth profile, backed by 1) constructive WI regulation, 2) a visible renewable and grid investment runway, 3) a resilient economic service territory, and 4) top-tier balance sheet positioning. However, limited management guidance, less developed large load visibility, and an above-average price-to-earnings-to-growth+yield (PEGY) ratio temper the upside case, in our view. Overall, we believe that the current valuation adequately reflects the company's fundamental profile. As such, we forecast a more balanced total return opportunity and initiate coverage of MGEE with a Neutral rating. We could become more constructive should the company establish a more credible path to growth above its historical trajectory through incremental capex, or a more compelling valuation relative to peers.

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Risks to Rating and Price Target

Successful large-load traction could drive upside to our estimates

We do not contemplate any new large load customer connections or any corresponding capex opportunities in our estimates given Madison's data center moratorium and a general lack of visibility into the scope and scale of customer interest versus competing service territories. However, any successful large load additions and/or corresponding utility capex opportunities could drive MGEE's rate base and earnings growth above our expectations.

Growth outlook in part tied to WI energy policy

A meaningful portion of MGEE's long-term growth depends on continued investment in renewable generation, battery storage, and regional transmission infrastructure, guided by WI's net zero by 2050 goal. Changes in state energy policy, project delays, interconnection constraints, and/or renewables economics could affect the company's resource planning decisions and impact the sizing and timing of capex needs.

Single-state footprint carries natural regulatory concentration risk

With the majority of earnings regulated by the PSCW, MGEE lacks the regulatory diversification present across many of its utility peers. This concentration may reduce capital allocation flexibility and heighten sensitivity to changes in the state's regulatory framework. While the current WI regulatory construct screens as above-average at this time, any shifts in political, consumer, or regulatory sentiment could materially alter MGEE's future rate case outcomes and cause earnings to differ materially from expectations.

Small-cap generation fleet carries greater risk/reward profile

MG&E owns and operates a generation fleet consisting of coal-fired, gas-fired, and renewable energy facilities. Operational disruptions, unexpected outages, fuel supply issues, or efficiency shortfalls could reduce output and/or increase operating costs. Such events may elevate operational risk, create potential liabilities, or limit cost recovery in future rate proceedings. Conversely, MGEE's ongoing generation transition to meet carbon emissions reduction targets may allow the company to realize substantial cost savings and boost growth from additional renewables and natural gas replacement plant spend.

Financing needs could differ versus our expectations

MGEE's rate base growth necessitates continued access to debt and equity capital financing to maintain authorized capital structures. While management has taken steps to de-risk equity dilution via forward sale agreements, changes in equity issuance requirements or upward pressure on the cost of parent debt could cause EPS growth to differ from current expectations.

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Company Description

MGEE is a regulated, vertically integrated electric and natural gas utility servicing customers primarily across the Greater Madison, WI metro area, with rates regulated by the Public Service Commission of Wisconsin (PSCW). The electric utility owns interests in natural gas, renewable energy, and legacy coal generation assets and operates transmission and distribution infrastructure that delivers electricity to ~170k customers, while the gas utility provides distribution service to ~185k customers. Long-term earnings growth depends on regulated rate-base expansion, disciplined capital investment, constructive regulation, and continued customer load growth across the Madison region. J.P. Morgan Securities LLC acted as the book runner for an equity offering, which closed on May 6th, 2026.

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Business & Asset Overview

MGE Energy, Inc. reports results across five business segments: 1) Electric Utility, 2) Gas Utility, 3) Non-Regulated Energy, 4) Transmission, and 5) Other. Each business segment represents a material driver behind the company's growth outlook.

Figure 1: Business Unit Summary

Electric Utility	Generates, purchases, and distributes electricity to ~170k customers across a 264 square-mile service area in Dane County, Wisconsin
Gas Utility	Purchases and distributes natural gas to ~180k customers across a 1,722 square-mile service area covering seven south-central Wisconsin counties
Non-Regulated Energy	Owns and leases electric generating capacity that assists MGE through MGE Energy's wholly owned subsidiaries MGE Power Elm Road and MGE Power West Campus
Transmission	MGE Transco holds a 3.6% ownership in ATC, which owns and operates FERC-regulated electric transmission facilities primarily in Wisconsin
Other	Primarily consists of unallocated corporate costs and miscellaneous items

Electric Utility

Marking the largest segment (~63% of EPS), MGEE's Electric Utility business (MG&E) engages in the regulated generation, transmission, and distribution of electricity to ~170k customers across a 264 square-mile service territory within the greater Madison metro area. Commercial customers comprise the slight majority of MG&E's electric retail revenues (52%), followed by residential (38%), other, including the University of Wisconsin (8%), and industrial (2%). As a vertically integrated electric utility, MG&E earns a regulated return on necessary electric infrastructure investments through rates approved by the PSCW.

Gas Utility

MGEE's Gas Utility business (~12% of EPS) transports, purchases, and distributes natural gas to ~180k customers across a 1,722 square-mile service territory spanning seven south-central counties in Wisconsin. Residential customers comprise the majority of the utility's gas retail revenues (59%), followed by commercial (38%), and industrial (3%). As a gas local distribution company (LDC), MG&E earns a regulated return on necessary gas infrastructure investments through rates approved by the PSCW.

Non-Regulated Energy

MGE's Non-Regulated Energy segment consists of MGE Power Elm Road and MGE Power West Campus, which own undivided interests in two coal-fired generation units (Elm Road) and one cogeneration facility (West Campus, or WCCF), respectively. The subsidiaries lease the generating capacity to MGE. A third party operates the Elm Road units and MGE operates the West Campus Cogeneration Facility, while both subsidiaries lease back the generating capacity to MG&E. Due to the nature of MGE's participation in these facilities, the results of MGE Energy's Non-Regulated Energy operations are also consolidated into MGE's consolidated financial position. At the end of the respective lease terms (2035 for WCCF and 2040/2041 for Elm Road Units), MGE may renew the facility lease for an additional term, purchase the leased ownership interest at fair market value, or allow the lease to end.

Transmission

The company holds 3.6% and 4.4% ownership stakes in ATC and ATC Holdco, respectively, which consolidate into MGE Energy, Inc. ATC owns electric transmission facilities primarily in Wisconsin and is a member of MISO. MGE received an interest in ATC when the company contributed its electric transmission facilities to ATC as required by Wisconsin law. ATC Holdco explores transmission development and investments outside of Wisconsin, which typically have long development and investment lead times before becoming operational. As a transmission utility, ATC's

rates and returns are regulated by FERC, though the PSCW controls some aspects of its governance.

Other

MGE's "Other" segment includes corporate, CWDC, MAGEL, MGE State Energy Services, MGE Services, and North Mendota. These entities' operations consist of investing in companies and property which relate to the regulated operations, and financing the regulated operations.

Figure 2: Financial Earnings Contribution by Segment

	2021A	2022A	2023A	2024A	2025A	2021-2025 EPS CAGR
Electric Utility	59%	58%	63%	61%	63%	**7.3%**
Gas Utility	14%	16%	12%	11%	12%	**0.6%**
Non-Regulated Energy	20%	20%	19%	20%	18%	**3.6%**
Transmission	6%	6%	6%	7%	7%	**8.2%**

Source: Company reports

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Regulatory Backdrop

As a pure-play Wisconsin utility, MG&E's capex, capital structure, and ROE are regulated by the Public Service Commission of Wisconsin (PSCW). Wisconsin screens as a relatively constructive regulatory jurisdiction on most accounts, scoring an "Above Average 3" ranking from S&P Global's RRA (similar to IA, MS, NC, and TN). We view the state's above-average authorized ROEs, equity-rich capital structures, forecast test years, and established cost-recovery mechanisms as supportive of competitive utility earnings power. Healthy customer bill wallet share and WI's clean-energy policy underscore a credible capex runway, though we see recent bill growth, a more litigious rate case environment, and comparatively less large load development in MG&E's service territory as modestly tempering the backdrop. Overall, we foresee a favorable regulatory construct in WI.

- **High ROEs + equity-rich capital structures underpin competitive utility earnings power.** MG&E's most recent 2025 electric base rate case featured a 9.80% authorized ROE, reflecting a risk premium above the national average. Alongside competitive ROEs, we appreciate that WI's ratemaking employs healthy equity capital structures (56.05% last authorized for MG&E), which further supports favorable utility earnings power above the national average.
- **Future test year policy with potential for partial cash returns on CWIP projects.** The PSCW generally relies on an average original-cost rate base and a test period that is fully forecast when the new rates become effective. WI's framework does not include CWIP in rate base, though allows for a cash return on working capital and, on a case-by-case basis, a cash return on a utility's electric and gas CWIP through adders that are incorporated into the return on rate base (typically 50%). Utilities can request either 100% CWIP or 100% allowance for funds used during construction or on major capital projects.
- **Standard set of riders in place.** MGE has several key regulatory mechanisms in place, including electric fuel-cost recovery through PSCW fuel rules, a Purchased Gas Adjustment (PGA) that passes natural-gas commodity costs through to customers, and an earnings-sharing mechanism that returns a portion of earnings above the authorized ROE to customers. Notably, the electric fuel rule clause utilizes a +/- 2% bandwidth. MGE also has targeted riders for customer-specific renewable energy (RER), community solar, and other programs, while certain approved costs can be deferred for recovery in future rate cases.
- **Large load tariff undefined.** MGE filed an application with the PSCW for approval of a large load tariff (VLC and Bespoke Resources Tariffs) under docket 3270-TE-124.
- **Biennial strategic energy assessment (SEA) sets a high-level, informative stage for resource planning.** By law, the PSCW must conduct a biennial strategic energy assessment, or SEA, to review the projected required generating capacity of electric resources five years into the future. The assessments must identify construction plans for generation and transmission facilities, forecast future statewide demand and supply, and assess the adequacy and reliability of the purchased power and regional bulk power market. The PSCW issues a draft SEA by July 1 of each even-numbered year, conducts a public comment and hearing process, and published a final assessment thereafter. However, the SEA serves primarily as a informational statewide outlook rather than a binding approval of long-term resource planning. Utilities subsequently seek approval for individual generation and major

transmission investments through CPCNs.

- **Net zero carbon goal naturally prioritizes clean energy solutions for resource planning.** In 2019, Governor Tony Evers signed Executive Order No. 38 setting a goal for 100% carbon-free electricity by 2050. The executive order required the Office of Sustainability and Clean Energy, and other relevant stakeholders, to develop a clean energy plan to assist the state in adapting to the impacts of climate change by using clean energy resources and technology. We acknowledge WI's 2050 net zero carbon goal as a core driver behind MG&E's renewable investment runway. Notably, MG&E also has a company-induced goal to achieve net-zero methane emissions from its LDC system by 2035.
- **Mixed settlement track record, with more fully litigated outcomes in recent years.** Based on historical patterns, WI's regulatory climate exhibits a somewhat contentious landscape from intervening parties, with ~48% of electric (~67% of gas) rate cases reaching settlements within the past decade. We note that this degree of contention appears to have increased in recent years, with eight of the last ten electric rate filings ending in full litigation.
- **Utility bills wallet share screens favorably, though rate of change lands above-average.** As a percentage of wallet share, WI combined utility bills screen relatively favorable versus the national average for wallet share, while the state ranks above-average for rate of change.
- **Gubernatorial appointments determine commission composition.** The PSCW is led by three full-time commissioners, who are appointed by the WI Governor and confirmed by the state Senate. Commissioners serve staggered six-year terms, with the Governor separately designating one commissioner to serve as Chair for a two-year term. If a vacancy occurs before a term expires, the Governor appoints a replacement to serve the remainder of the unexpired term. We note that two PSCW Commissioners currently have not yet been officially confirmed by the Senate.

Figure 3: PSW Electric Rate Case Outcomes, 2016-2026TD

Utility	Ticker	Docket	Authorization Date	Authorized Rate Increase as % of Initial Ask	Authorized Rate Increase	Initial Rate Increase Proposal	Authorized ROE	Authorized Rate Base	Initial Rate Base Ask	Rate Base Authorized as % of Initial Ask	Decision Type
Northern States Power Co.	XEL	D-4220-UR-127 (Elec)	11/6/2025	84%	$126.10	$150.72	9.80%	NA	$3,232.08		Fully Litigated
Wisconsin Power & Light Co	LNT	D-6680-UR-125 (Elec)	11/6/2025	75%	$152.42	$201.89	9.80%	$6,549.26	$6,693.15	98%	Settled
WI Public Service Corp.	WEC	D-6690-UR-128 (Elec)	12/19/2024	49%	$85.10	$172.35	9.80%	$3,779.54	$3,992.19	95%	Fully Litigated
Wisconsin Electric Power Co.	WEC	D-5-UR-111 (Elec)	12/19/2024	74%	$313.51	$423.33	9.80%	$6,823.63	$7,266.33	94%	Fully Litigated
Northern States Power Co.	XEL	D-4220-UR-126 (Elec)	11/9/2023	3%	$1.11	$40.34	9.80%	$2,061.18	$2,084.83	99%	Fully Litigated
Wisconsin Power & Light Co	LNT	D-6680-UR-124 (Elec)	11/9/2023	60%	$109.11	$181.84	9.80%	$5,774.14	$5,915.41	98%	Fully Litigated
Madison Gas & Electric Co.	MGEE	D-3270-UR-125 (Elec)	11/3/2023	79%	$27.47	$34.91	9.70%	$1,241.50	$1,281.24	97%	Fully Litigated
Wisconsin Electric Power Co.	WEC	D-5-UR-110 (WEP-Elec)	12/29/2022	109%	$280.52	$258.29	9.80%	$5,442.29	$5,689.55	96%	Fully Litigated
WI Public Service Corp.	WEC	D-6690-UR-127 (Elec)	12/22/2022	155%	$113.18	$73.02	9.80%	$3,294.03	$3,356.54	98%	Fully Litigated
Madison Gas & Electric Co.	MGEE	D-3270-UR-124 (Elec)	11/23/2021	152%	$35.02	$23.06	9.80%	$1,044.36	$1,048.44	100%	Settled
Northern States Power Co.	XEL	D-4220-UR-125 (Elec)	11/18/2021	100%	$52.43	$52.43	10.00%	$1,976.18	$1,976.18	100%	Settled
Wisconsin Power & Light Co	LNT	D-6680-UR-123 (Elec)	11/18/2021	100%	$70.33	$70.33	10.00%	$4,573.19	$4,573.19	100%	Settled
WI Public Service Corp.	WEC	D-5-AF-107 (Elec)	8/11/2021				NA	NA	NA		NA
Wisconsin Electric Power Co.	WEC	D-5-AF-107 (WEP-Elec)	8/11/2021				NA	NA	NA		NA
Wisconsin Power & Light Co	LNT	D-6680-UR-122 (Elec)	12/23/2020				10.00%	$4,167.09	NA		Fully Litigated
Madison Gas & Electric Co.	MGEE	D-3270-UR-123 (Elec)	11/24/2020				9.80%	$1,019.08	$1,019.08	100%	Settled
WI Public Service Corp.	WEC	D-6690-UR-126 (Elec)	10/31/2019	38%	$38.61	$101.89	10.00%	$2,569.52	$2,614.73	98%	Settled
Wisconsin Electric Power Co.	WEC	D-05-UR-109 (WEP-Elec)	10/31/2019	36%	$81.31	$223.28	10.00%	$4,738.61	$4,846.53	98%	Settled
Northern States Power Co.	XEL	D- 4220-UR-124 (Elec)	9/4/2019		$0.70		10.00%	$1,482.79	$1,482.79	100%	Settled
Madison Gas & Electric Co.	MGEE	D-3270-UR-122 (Elec)	9/20/2018	116%	-$9.23	-$7.99	9.80%	$860.54	$860.54	100%	Settled
Wisconsin Power & Light Co	LNT	D-6680-UR-121 (Elec)	9/14/2018		$0.00		10.00%	$3,955.30	$3,955.30	100%	Settled
Northern States Power Co.	XEL	D-4220-UR-123 (Elec)	12/7/2017	38%	$9.42	$24.74	9.80%	$1,194.76	$1,218.58	98%	Fully Litigated
WI Public Service Corp.	WEC	D-6690-UR-125 (Elec)	8/10/2017		$0.00		NA	NA	NA		Settled
Wisconsin Electric Power Co.	WEC	D-5-UR-108 (WEP-Elec)	8/10/2017				NA	NA	NA		Settled
Wisconsin Power & Light Co	LNT	D-6680-UR-120 (Elec)	11/18/2016	73%	$9.44	$12.93	10.00%	$2,851.38	$2,851.38	100%	Settled
Madison Gas & Electric Co.	MGEE	D-3270-UR-121 (Elec)	11/9/2016	-48%	-$3.34	$6.90	9.80%	$570.78	$573.37	100%	Fully Litigated
Northern States Power Co.	XEL	D-4220-UR-122 (Elec)	10/26/2016	86%	$24.48	$28.35	NA	NA	$1,188.00		Fully Litigated

Source: S&P Capital IQ

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Energy Resource Portfolio

Natural gas facilities comprise nearly 40% of MGEE's owned electric generation on a nameplate MW basis, representing the backbone energy source for MG&E's baseload demand, alongisde its coal units (25% of nameplate capacity). While the company owns ~400MW of renewables facilities, we note that the capacity-factor-adjusted output screens as a comparatively smaller contributor to load requirements versus MG&E's dispatchable fleet. Nevertheless, we acknowledge the state's broader 2050 net zero carbon goal structurally prioritizes further renewables development, and we would not be surprised to see solar/wind capacity to increase as a share of MG&E's fleet moving forward.

We sense that MG&E's peak load requirement lands near ~700MW. The company does not provide an electric sales forecast, though disclosures indicate 1.6% CAGR in utility customers from 2020-2025. Given MG&E's favorable location, strong regional transmission access, and proximity to major economic and research institutions, management has indicated growing interest from large load customers across the utility's electric service territory. However, the City of Madison has enacted a temporary moratorium on the development of new large-scale data centers to evaluate their impact on local infrastructure and resources, which may delay or prevent the commencement of operations for planned projects.

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Figure 4: MG&E Generation Portfolio (Nameplate Capacity)

Generating Facility	State	Fuel Source	Ownership Interest	Owned MW
Blount	WI	Gas	100%	100
Nine Springs	WI	Gas	100%	16
Sycamore	WI	Gas	100%	38
Fitchburg	WI	Gas	100%	53
West Marinette	WI	Gas	100%	90
West Campus	WI	Gas	55%	157
West Riverside	WI	Gas	7%	50
Total Natural Gas (MW)				**504**
Columbia	WI	Coal	19%	211
Elm Road	WI	Coal	8%	106
Total Coal (MW)				**317**
Lincoln-Red River	WI	Wind	100%	11
Top of Iowa	IA	Wind	100%	30
Forward Wind	WI	Wind	13%	18
Saratoga	IA	Wind	100%	66
Red Barn	WI	Wind	10%	9
Morey Field	WI	Solar	100%	6
Two Creeks	WI	Solar	33%	50
Dane County	WI	Solar	100%	10
O'Brien	WI	Solar	100%	22
Badger Hollow I & II	WI	Solar	33%	100
Hermsdorf	WI	Solar	100%	8
Tyto	WI	Solar	100%	6
Strix	WI	Solar	100%	6
Darien	WI	Solar	10%	25
Paris	WI	Solar	10%	20
Paris	WI	Battery	10%	11
Total Renewable (MW)				**398**
Distributed Generators (MW)	WI	ULSFO	100%	**70**
Total Owned Generation				**1,289**

Source: Company reports as of 12/31/25

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Peer Comparison

MGEE does not provide earnings or rate base growth guidance, though management has indicated that MG&E's historical five-year growth rates (7.4% EPS CAGR, 7.8% Regulated PP&E CAGR) provide a reasonable framework for considering the company's forward long-term growth outlook. We model a ~6.7% EPS CAGR through 2031, which contemplates the company's disclosed capex plan, earned ROEs near historical levels, and a ~2.2% CAGR of equity dilution. Altogether, we estimate that MGEE's growth outlook rivals SMID-cap peers, though broadly lags the larger cap universe. Nevertheless, above-average WI ratemaking standards, a strong earnings execution track record, and an economically healthy service territory drive a premium valuation to peers.

Figure 5: Regulated SMID-Cap Peer Comparison

Company	Ticker	Rating	Mkt Cap ($mm)	Price	EPS Forecast 2028E	EPS Forecast 2029E	EPS Forecast 2030E	P/E Multiple 2028E	EPS Growth 2030/2028	PE/G	Dividend Yield (NTM)	Yield + Growth	PE / Growh + Yield
SMID													
Avista Corporation	AVA	NC	$3,034	$36.22	2.92	3.17	3.30	12.4x	6.4%	1.9x	5.4%	11.8%	1.1x
Black Hills Corporation	BKH	NC	$5,890	$77.24	5.07	5.29	5.65	15.2x	5.5%	2.7x	3.7%	9.3%	1.6x
IDACORP, Inc.	IDA	NC	$7,926	$137.03	7.67	8.60	9.32	17.9x	10.2%	1.7x	2.7%	12.9%	1.4x
Alliant Energy Corp.	LNT	NC	$17,362	$66.96	4.04	4.37	4.73	16.6x	8.3%	2.0x	3.4%	11.6%	1.4x
MDU Resources Group, Inc.	MDU	OW	$3,921	$18.64	1.13	1.30	1.42	16.4x	11.9%	1.4x	3.5%	15.4%	1.1x
Northwestern Energy Group Inc	NWE	N	$4,630	$75.26	4.20	4.41	4.65	17.9x	5.2%	3.4x	3.6%	8.8%	2.0x
OGE Energy Corp	OGE	OW	$9,753	$47.21	2.82	3.01	3.24	16.7x	7.2%	2.3x	3.7%	10.9%	1.5x
Otter Tail Corporation	OTTR	NC	$3,738	$89.04	4.43	4.44	4.96	20.1x	5.8%	3.5x	2.7%	8.5%	2.4x
Pinnacle West Capital Corporation	PNW	NC	$12,311	$101.58	6.14	6.64	7.17	16.6x	8.1%	2.1x	3.7%	11.7%	1.4x
Portland General Electric Co	POR	N	$5,243	$44.58	3.75	3.93	4.16	11.9x	5.3%	2.2x	4.8%	10.1%	1.2x
SMID Mean			**$7,381**					**16.2x**	**7.4%**	**2.3x**	**3.7%**	**11.1%**	**1.5x**
SMID Median			**$5,566**					**16.6x**	**6.8%**	**2.1x**	**3.6%**	**11.2%**	**1.4x**
MGE Energy, Inc.	**MGEE**	**N**	**$2,691**	**$71.21**	**4.52**	**4.80**	**5.10**	**15.8x**	**6.3%**	**2.5x**	**2.8%**	**9.1%**	**1.7x**

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Prices as of 10/13/26

We benchmark MGEE primarily against SMID-cap regulated utility peers given similarities in scale, liquidity, and business mix, while also considering broader regulated utility valuation ranges to contextualize premium positioning tied to growth visibility and balance sheet strength.

Figure 6: Regulated Large-Cap Peer Comparison

Company	Ticker	Rating	Mkt Cap ($mm)	Price	EPS Forecast 2028E	EPS Forecast 2029E	EPS Forecast 2030E	P/E Multiple 2028E	EPS Growth 2030/2028	PE/G	Dividend Yield (NTM)	Yield + Growth	PE / Growh + Yield
Regulated													
Ameren Corp	AEE	OW	$28,876	$104.32	6.39	6.96	7.60	16.3x	9.1%	1.8x	3.0%	12.1%	1.4x
American Electric Power Co Inc	AEP	N	$68,404	$125.65	7.53	8.25	9.04	16.7x	9.5%	1.7x	3.1%	12.7%	1.3x
CenterPoint Energy Inc	CNP	N	$25,697	$39.36	2.27	2.47	2.69	17.3x	8.9%	2.0x	2.4%	11.3%	1.5x
CMS Energy Corp	CMS	OW	$20,790	$66.30	4.47	4.82	5.20	14.8x	7.9%	1.9x	3.6%	11.4%	1.3x
DTE Energy Co	DTE	N	$26,696	$128.33	9.03	9.77	10.50	14.2x	7.8%	1.8x	3.8%	11.7%	1.2x
Duke Energy Corp	DUK	N	$92,188	$118.19	7.63	8.17	8.73	15.5x	7.0%	2.2x	3.8%	10.8%	1.4x
Consolidated Edison Inc	ED	UW	$39,875	$107.82	6.89	7.30	7.75	15.6x	6.1%	2.6x	3.4%	9.5%	1.7x
Edison International	EIX	N	$21,349	$55.48	6.96	7.39	7.81	8.0x	5.9%	1.3x	6.6%	12.5%	0.6x
Eversource Energy	ES	UW	$24,766	$65.75	5.22	5.56	5.91	12.6x	6.4%	2.0x	5.0%	11.4%	1.1x
Entergy Corp	ETR	OW	$48,992	$104.99	5.85	6.55	7.33	17.9x	11.9%	1.5x	2.6%	14.5%	1.2x
Exelon Corp	EXC	N	$43,706	$42.34	3.25	3.43	3.61	13.0x	5.4%	2.4x	4.1%	9.5%	1.4x
FirstEnergy Corp	FE	N	$26,151	$45.21	3.19	3.45	3.74	14.2x	8.3%	1.7x	4.3%	12.6%	1.1x
NiSource Inc	NI	OW	$19,897	$41.49	2.49	2.73	2.96	16.7x	9.1%	1.8x	3.0%	12.1%	1.4x
PG&E Corp	PCG	OW	$29,358	$13.33	1.96	2.12	2.32	6.8x	8.8%	0.8x	2.0%	10.7%	0.6x
PPL Corp	PPL	OW	$26,061	$34.63	2.29	2.48	2.67	15.1x	8.0%	1.9x	3.4%	11.4%	1.3x
Public Service Enterprise Group Inc	PEG	N	$35,124	$70.47	5.05	5.44	5.73	14.0x	6.5%	2.1x	4.0%	10.5%	1.3x
Southern Co/The	SO	N	$99,416	$88.11	5.36	5.78	6.22	16.4x	7.7%	2.1x	3.5%	11.3%	1.5x
Sempra	SRE	OW	$53,862	$82.37	6.00	6.55	7.21	13.7x	9.6%	1.4x	3.2%	12.8%	1.1x
WEC Energy Group Inc	WEC	N	$34,498	$105.87	6.48	7.00	7.57	16.3x	8.1%	2.0x	3.8%	11.9%	1.4x
Xcel Energy Inc	XEL	OW	$46,623	$74.64	5.02	5.47	5.95	14.9x	8.9%	1.7x	3.2%	12.1%	1.2x
Mean								**14.5x**	**8.0%**	**1.8x**	**3.6%**	**11.6%**	**1.3x**
Median								**15.0x**	**8.0%**	**1.9x**	**3.5%**	**11.5%**	**1.3x**
Mean (ex EIX & PCG)								**15.3x**	**8.1%**	**1.9x**	**3.5%**	**11.6%**	**1.3x**
Median (ex EIX & PCG)								**15.3x**	**8.0%**	**1.9x**	**3.5%**	**11.5%**	**1.3x**
MGE Energy, Inc.	**MGEE**	**N**	**$2,691**	**$71.21**	**4.52**	**4.80**	**5.10**	**15.8x**	**6.3%**	**2.5x**	**2.8%**	**9.1%**	**1.7x**

Source: J.P. Morgan estimates, Bloomberg Finance L.P. Prices as of 10/13/26

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J.P.Morgan

MGEE Income Statement

J.P. Morgan Utilities Research

MGE Energy, Inc.
Consolidated Results

	2023A	2024A	2025A	1Q26A	2Q26A	3Q26E	4Q26E	2026E	2027E	2028E	2029E	2030E	2031E
Income Statement													
Operating Revenue	690	677	744	243	161	179	194	777	819	851	872	905	946
Production Expenses	205	170	198	94	28	31	57	210	210	210	210	210	210
Gross Margin	**485**	**507**	**546**	**149**	**133**	**147**	**137**	**566**	**608**	**641**	**662**	**695**	**735**
Operations & Maintenance Expense	216	229	237	62	65	63	69	259	258	258	258	266	274
Depreciation & Amortization	100	109	114	28	29	29	30	116	126	133	137	142	146
Taxes Other Than Income	22	24	24	6	6	6	6	25	26	26	27	27	28
Operating Expenses	**339**	**361**	**375**	**96**	**101**	**99**	**105**	**400**	**410**	**417**	**422**	**435**	**448**
Operating Income	**146**	**146**	**171**	**53**	**33**	**49**	**32**	**166**	**199**	**223**	**240**	**260**	**287**
Other Income (Expense)	30	18	20	11	14	10	3	39	30	36	38	38	33
EBIT	**176**	**164**	**190**	**64**	**47**	**59**	**35**	**205**	**229**	**260**	**278**	**297**	**320**
EBITDA	**276**	**273**	**305**	**92**	**76**	**88**	**65**	**321**	**355**	**393**	**415**	**439**	**467**
Interest Expense	30	33	34	10	9	9	10	38	44	52	58	63	66
EBT	**146**	**131**	**157**	**54**	**38**	**50**	**25**	**167**	**185**	**207**	**220**	**235**	**254**
Income Tax Expense	28	11	21	6	4	6	2	18	18	20	21	23	25
Net Income from Continuing Ops	**118**	**121**	**136**	**48**	**33**	**45**	**23**	**149**	**167**	**187**	**199**	**212**	**229**
Preferred & NCI	-	-	-	-	-			-	-	-	-	-	-
Net Income to Common	**118**	**121**	**136**	**48**	**33**	**45**	**23**	**149**	**167**	**187**	**199**	**212**	**229**
Adjustments		-	-	-	-			-	-	-	-	-	-
Adjusted Net Income	**118**	**121**	**136**	**48**	**33**	**45**	**23**	**149**	**167**	**187**	**199**	**212**	**229**
Diluted EPS - Reported	**3.25**	**3.33**	**3.72**	**1.32**	**0.89**	**1.17**	**0.60**	**3.98**	**4.21**	**4.52**	**4.80**	**5.10**	**5.48**
Diluted EPS - Adjusted	**3.25**	**3.33**	**3.72**	**1.32**	**0.89**	**1.17**	**0.60**	**3.98**	**4.21**	**4.52**	**4.80**	**5.10**	**5.48**

Source: J.P. Morgan estimates and company reports

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MGEE Balance Sheet and Cash Flow Statement

J.P. Morgan Utilities Research

MGE Energy, Inc.
Consolidated Results

	2023A	2024A	2025A	1Q26A	2Q26A	3Q26E	4Q26E	2026E	2027E	2028E	2029E	2030E	2031E
Cash Flow Statement													
Net Income	118	121	136	48	33	45	23	149	167	187	199	212	229
Depreciation & Amortization	100	109	114	28	29	29	30	116	126	133	137	142	146
Deferred Income Taxes	23	1	7	2	3	2	2	10	8	9	9	9	9
Other	(14)	(0)	(6)	(3)	(3)			(6)	-	-	-	-	-
Change in Working Capital	11	48	12	5	6	(4)	(4)	2	(29)	(15)	(16)	(16)	(16)
Cash from Operations	**238**	**278**	**263**	**81**	**68**	**71**	**50**	**270**	**272**	**314**	**330**	**347**	**369**
Capital Expenditures	(222)	(237)	(343)	(101)	(110)	(89)	(89)	(389)	(584)	(304)	(314)	(319)	(319)
Acquisitions	-	-	-	-	-			-	-	-	-	-	-
Contributions to Investments	(7)	(5)	(9)	(5)	(3)	(3)	(3)	(13)	(12)	(12)	(12)	(12)	(12)
Other	(1)	0	2	1	2			2	-	4	-	-	-
Cash from Investing	**(230)**	**(241)**	**(351)**	**(105)**	**(111)**	**(92)**	**(92)**	**(400)**	**(596)**	**(312)**	**(326)**	**(331)**	**(331)**
Long-term Debt Issued	139	50	50	90	-	1	81	173	132	75	75	75	75
Long-term Debt Matured	(54)	(5)	(5)	(3)	(1)	-	-	(4)	(50)	-	-	-	-
Common Stock Issuance/(Repurchase)	-	32	4	14	75	-	-	89	250	-	-	20	20
Dividends Paid	(60)	(64)	(68)	(17)	(18)	(19)	(19)	(73)	(81)	(89)	(94)	(99)	(105)
Other	(35)	(40)	91	(56)	(6)			(61)	-	-	-	-	-
Cash from Financing	**(10)**	**(27)**	**72**	**29**	**50**	**(18)**	**62**	**123**	**251**	**(15)**	**(19)**	**(4)**	**(10)**
Change in Cash	**(3)**	**9**	**(16)**	**4**	**7**	**(38)**	**20**	**(7)**	**(74)**	**(13)**	**(16)**	**12**	**27**
Beginning Cash	18	15	24	9	12	20	-	9	0	-	(0)	(0)	(0)
Debt Sweep						18	(20)	(2)	74	13	16	(12)	(27)
Ending Cash	**15**	**24**	**9**	**12**	**20**	**-**	**-**	**0**	**-**	**(0)**	**(0)**	**(0)**	**(0)**
Balance Sheet													
Cash and Cash Equivalents	15	24	9	12	20	-	-	-	-	-	-	-	-
Receivables	96	97	113	103	87	87	87	87	87	87	87	87	87
Other Current Assets	128	106	107	96	104	109	113	113	143	158	173	189	205
Total Current Assets	**238**	**227**	**229**	**211**	**211**	**196**	**200**	**200**	**229**	**245**	**260**	**276**	**292**
Net PP&E	2,128	2,287	2,573	2,609	2,710	2,770	2,829	2,829	3,287	3,458	3,634	3,812	3,984
Regulatory Assets	82	37	43	45	51	51	51	51	51	51	51	51	51
Investments	113	118	128	133	136	139	141	141	153	165	177	189	201
Other Long-Term Assets	115	159	183	188	192	192	192	192	192	188	188	188	188
Total Long-Term Assets	**2,437**	**2,601**	**2,927**	**2,975**	**3,089**	**3,152**	**3,214**	**3,214**	**3,684**	**3,863**	**4,051**	**4,241**	**4,425**
Total Assets	**2,675**	**2,828**	**3,155**	**3,186**	**3,300**	**3,348**	**3,414**	**3,414**	**3,913**	**4,107**	**4,312**	**4,517**	**4,717**
Short-term Debt & Current Maturities	43	5	116	61	55	74	74	74	222	270	320	349	368
Accounts Payable	65	77	118	57	67	67	67	67	67	67	67	67	67
Other Current Liabilities	49	43	63	65	63	63	63	63	63	63	63	63	63
Total Current Liabilities	**157**	**126**	**297**	**183**	**186**	**204**	**204**	**204**	**353**	**400**	**450**	**479**	**498**
Long-term Debt	719	764	792	880	879	880	941	941	948	988	1,028	1,062	1,090
Deferred Income Taxes	279	316	338	344	340	342	344	344	352	361	370	379	388
Regulatory Liabilities	162	163	185	189	198	198	198	198	198	198	198	198	198
Other Deferred Credits & Long-Term Liabilities	218	229	239	239	257	257	257	257	257	257	257	257	257
Total Non-Current Liabilities	**1,378**	**1,472**	**1,555**	**1,653**	**1,674**	**1,677**	**1,740**	**1,740**	**1,755**	**1,804**	**1,853**	**1,896**	**1,933**
Common Stock	1,140	1,230	1,304	1,349	1,441	1,441	1,441	1,441	1,441	1,441	1,441	1,441	1,441
Preferred Stock	-	-	-	-	-	-	-	-	-	-	-	-	-
Retained Earnings	-	-	-	-	-	26	29	29	365	463	568	701	845
Other	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Equity	**1,140**	**1,230**	**1,304**	**1,349**	**1,441**	**1,466**	**1,470**	**1,470**	**1,806**	**1,903**	**2,008**	**2,141**	**2,286**
Noncontrolling Interest	-	-	-	-	-	-	-	-	-	-	-	-	-
Total Liabilities & Equity	**2,675**	**2,828**	**3,155**	**3,186**	**3,300**	**3,348**	**3,414**	**3,414**	**3,913**	**4,107**	**4,312**	**4,517**	**4,717**
Check	-	-	-	-	-	-	-	-	-	-	-	-	-

Source: J.P. Morgan estimates and company reports

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Investment Thesis, Valuation and Risks

MGE Energy *(Neutral; Price Target: $76.00)*

Investment Thesis
We view MGEE as a high-quality, low-risk vertically integrated utility offering durable single-digit earnings growth, supported by established WI clean energy policy, constructive WI ratemaking, and a resilient Madison service territory anchored by government, higher education, and healthcare employment. Although management does not provide formal long-term guidance, MGEE's historical earnings and net PP&E track record provides a credible framework for future execution, with renewable generation, grid modernization, gas infrastructure, and transmission investment supporting a visible multi-year runway. However, we believe the current valuation already captures much of MGEE's business quality and earnings durability. We also see challenges in MGEE capturing the same degree of growth upside afforded to vertically integrated utilities given its limited large load development traction to date. With shares trading at a high premium relative to its growth outlook, we see balanced risk-reward from current levels and would look for either a clearer path to growth above the company's historical trajectory or a more compelling valuation before becoming more constructive.

Valuation
We introduce a YE27 price target of $76/share, using an adjusted 16.8x multiple on our 2028 estimate. Our consolidated multiple represents an appropriate premium to regulated peers on account of 1) a proven EPS compounding track record, 2) above-average WI regulation, 3) strong balance sheet positioning, and 4) Madison's economically resilient service territory.

Risks to Rating and Price Target

- With the majority of earnings derived from and Wisconsin and regulated by the PSCW, MGEE lacks the regulatory diversification present across many of its utility peers. This concentration may reduce capital allocation flexibility and heighten sensitivity to changes in the state's regulatory framework. While the current WI regulatory construct screens as above-average at this time, any shifts in political, consumer, or regulatory sentiment could materially alter MGEE's future rate case outcomes and cause earnings to differ materially from our expectations.
- Any successful large load additions and/or corresponding utility capex opportunities could drive MGEE's rate base and earnings growth above our expectations.
- Operational disruptions, unexpected outages, fuel supply issues, or efficiency shortfalls could reduce output and/or increase operating costs. Such events may elevate operational risk, create potential liabilities, or limit cost recovery in future rate proceedings. Conversely, MGEE's ongoing generation transition to meet carbon emissions reduction targets may allow the company to realize substantial cost savings and boost growth from additional renewables and natural gas replacement plant spend.
- A meaningful portion of MGEE's long-term growth depends on continued investment in renewable generation, battery storage, and regional transmission infrastructure, guided by WI's net zero by 2050 goal. Changes in state energy policy, project delays, interconnection constraints, and/or renewables economics could affect the company's resource planning decisions and impact the sizing and timing of capex needs.

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MGE Energy: Summary of Financials

Income Statement - Annual	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**677**	**744**	**777**	**819**	**851**
COGS	(170)	(198)	(210)	(210)	(210)
Gross profit	**507**	**546**	**566**	**608**	**641**
SG&A	(253)	(261)	**(284)**	**(284)**	**(284)**
Adj. EBITDA	**273**	**305**	**321**	**355**	**393**
D&A	(109)	(114)	(116)	(126)	(133)
Adj. EBIT	**164**	**190**	**205**	**229**	**260**
Net Interest	(33)	(34)	(38)	(44)	(52)
Adj. PBT	**131**	**157**	**167**	**185**	**207**
Tax	(11)	(21)	(18)	(18)	(20)
Minority Interest	0	0	0	0	0
Adj. Net Income	**121**	**136**	**149**	**167**	**187**
Reported EPS	3.33	3.72	3.98	4.21	4.52
Adj. EPS	**3.33**	**3.72**	**3.98**	**4.21**	**4.52**
DPS	**1.76**	**1.85**	**1.95**	**2.05**	**2.15**
Payout ratio	52.9%	49.8%	49.0%	48.6%	47.7%
Shares outstanding	36	37	37	40	41

Income Statement - Quarterly	1Q26A	2Q26A	3Q26E	4Q26E
Revenue	**243A**	**161A**	**179**	**194**
COGS	(94)A	(28)A	(31)	(57)
Gross profit	**149A**	**133A**	**147**	**137**
SG&A	(68)A	(72)A	(69)	(75)
Adj. EBITDA	**92A**	**76A**	**88**	**65**
D&A	(28)A	(29)A	(29)	(30)
Adj. EBIT	**64A**	**47A**	**59**	**35**
Net Interest	(10)A	(9)A	(9)	(10)
Adj. PBT	**54A**	**38A**	**50**	**25**
Tax	(6)A	(4)A	(6)	(2)
Minority Interest	0A	0A	0	0
Adj. Net Income	**48A**	**33A**	**45**	**23**
Reported EPS	1.32A	0.89A	1.17	0.60
Adj. EPS	**1.32A**	**0.89A**	**1.17**	**0.60**
DPS	**0.48A**	**0.48A**	**0.50**	**0.50**
Payout ratio	35.9%A	53.3%A	42.5%	83.7%
Shares outstanding	37A	37A	38	38

Balance Sheet & Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	24	9	0	0	0
Accounts receivable	97	113	87	87	87
Other current assets	203	220	200	229	245
Current assets	**227**	**229**	**200**	**229**	**245**
PP&E	2,287	2,573	2,829	3,287	3,458
Other non current assets	313	354	385	397	405
Total assets	**2,828**	**3,155**	**3,414**	**3,913**	**4,107**
Short term borrowings	5	116	74	222	270
Payables	77	118	67	67	67
Other short term liabilities	43	63	63	63	63
Current liabilities	**126**	**297**	**204**	**353**	**400**
Long-term debt	764	792	941	948	988
Other long term liabilities	1,472	1,555	1,740	1,755	1,804
Total liabilities	**1,598**	**1,851**	**1,944**	**2,108**	**2,204**
Shareholders' equity	1,230	1,304	1,470	1,806	1,903
Minority interests	0	0	0	0	0
Total liabilities & equity	**2,828**	**3,155**	**3,414**	**3,913**	**4,107**
BVPS	**33.70**	**35.66**	**38.90**	**43.70**	**46.07**
y/y Growth	*-*	*5.8%*	*9.1%*	*12.3%*	*5.4%*
Net debt/(cash)	744	900	1,015	1,170	1,258
Cash flow from operating activities	**278**	**263**	**270**	**272**	**314**
o/w Depreciation & amortization	109	114	116	126	133
o/w Changes in working capital	48	12	2	(29)	(15)
Cash flow from investing activities	**(241)**	**(351)**	**(400)**	**(596)**	**(312)**
o/w Capital expenditure	(237)	(343)	(389)	(584)	(304)
as % of sales	*35.0%*	*46.2%*	*50.1%*	*71.3%*	*35.7%*
Cash flow from financing activities	**(27)**	**72**	**123**	**251**	**(15)**
o/w Dividends paid	(64)	(68)	(73)	(81)	(89)
o/w Net debt issued/(repaid)	45	45	169	82	75
Net change in cash	**9**	**(16)**	**(7)**	**(74)**	**(13)**
Adj. Free cash flow to firm	**71**	**(51)**	**(85)**	**(273)**	**57**
y/y Growth	*-*	*(171.2%)*	*67.6%*	*221.0%*	*(121.0%)*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	75.0%	73.4%	72.9%	74.3%	75.3%
EBITDA margin	40.3%	41.0%	41.3%	43.4%	46.1%
EBIT margin	24.2%	25.6%	26.4%	28.0%	30.5%
Net profit margin	17.8%	18.3%	19.2%	20.4%	22.0%
ROE	19.6%	10.7%	10.7%	10.2%	10.1%
ROA	8.5%	4.5%	4.5%	4.6%	4.7%
ROCE	15.1%	7.8%	7.8%	7.6%	7.6%
SG&A/Sales	37.3%	35.1%	36.6%	34.6%	33.4%
Net debt/equity	0.6	0.7	0.7	0.6	0.7
P/E (x)	21.4	19.2	17.9	16.9	15.8
P/BV (x)	2.1	2.0	1.8	1.6	1.5
EV/EBITDA (x)	15.2	12.4	12.3	12.1	11.5
Dividend Yield	2.5%	2.6%	2.7%	2.9%	3.0%
Sales/Assets (x)	0.5	0.2	0.2	0.2	0.2
Interest cover (x)	8.3	9.0	8.4	8.1	7.5
Operating leverage	-	163.0%	173.1%	215.8%	338.4%
Revenue y/y Growth	-	9.9%	4.4%	5.4%	4.0%
EBITDA y/y Growth	-	11.8%	5.4%	10.6%	10.6%
Tax rate	8.1%	13.3%	10.8%	9.8%	9.8%
Adj. Net Income y/y Growth	-	12.7%	9.6%	12.1%	12.0%
EPS y/y Growth	-	11.7%	7.0%	5.9%	7.2%
DPS y/y Growth	-	5.1%	5.3%	5.1%	5.2%

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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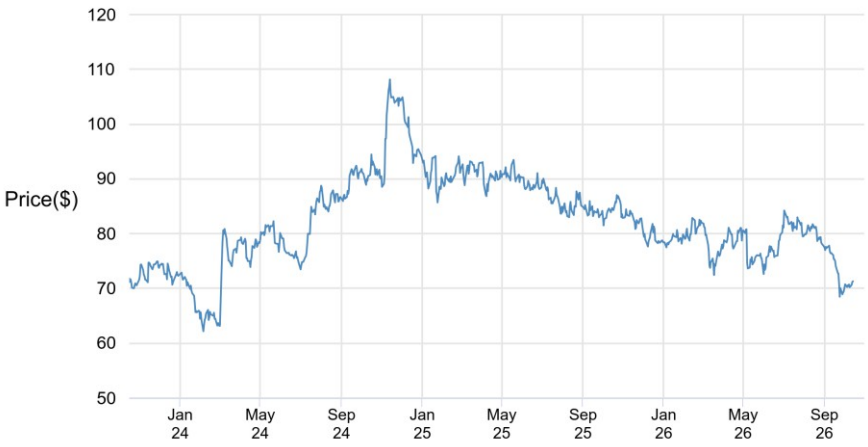
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MGE Energy (MGEE, MGEE US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.

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